

NOTICE OF DECISION

LICENSING SUB-COMMITTEE – 7 NOVEMBER 2024

SECTION 17 LICENSING ACT 2003: ARCH 37 AMERICA STREET, LONDON SE1 0NJ

Decision

That the application made by The Arch Company Properties Limited for a premises licence to be granted under Section 17 of the Licensing Act 2003 in respect of the premises known as Arch 37 America Street, London SE1 0NJ be refused.

Reasons

This was an application for a premises licence in respect of Arch 37 America Street, London SE1 0NJ

The licensing sub-committee heard from the representative for the applicant who explained premises 36, 37, 38 and 39 (“the Arches”) were disused railway arches next to each other. Each application was largely the same, all free of off-sale restrictions, with the same conditions. Apart from the plans for the premises, the principal difference was Arches 36 and 38 included a restaurant condition and arches 37 and 39 were free from a restaurant condition.

The applicant owned many other arches, primarily in Southwark that were operated by independent operators. These arches had a range of premises types: bars, gyms, restaurants. As arches, the premises were naturally noise preventative in their structure. The applicant had invested two and a half million pounds in turning the arches, from a scruffy car dealership into state-of-the-art venues for leisure use.

They advised that the applicant would not be the operator and simply sought the premises licences to make them more attractive for potential tenants. If granted, the premises licence would be transferred once good tenants had been identified. These tenants would be granted 10 year leases.

The residents’ concerns of noise were understandable. America House, where the objectors resided, was opposite the arches, albeit three or four floors up. The applicant’s representative stated that the residents would not be disturbed by the premises and that the immediate area was already noisy, due to the arches being under a busy railway line.

It was entirely possible that none of the premises would eventually become licensed premises, however, for marketability purposes, being licensed would give the applicant a greater selling point. Once suitable tenants had been found, the tenants would be likely to vary any licence(s) obtained, tailoring it specifically to the operator’s business model. Such variation applications would be subject to consultation, allowing residents the opportunity to comment upon them.

Planning permission for the change of use had already been obtained and the applicant was subject to noise conditions. Conditions had also been agreed with the environmental protection team (EPT) relating to doors and windows being closed (including the bi-folding doors at the fronts facing America Street) from 22:00, in addition to the supervision of customers outside. It was the applicant's view that there would be no noise escape from the Arches themselves, nor was it felt that the noise of people inside any of the arches would reach the residents over the train noise.

The proposition of an acoustic lobby was explored by members, which was not agreed to as a lobby would slow the entrance of people into the premises. Any noise escape would be a matter for management control. As railway arches, there were already size restrictions and any acoustic lobby would eat into the licensable area. Further planning permission was also likely to be required. It was pointed out that other premises owned by the applicant within Southwark also operated with single doors, which all operated without noise complaints. It was also added that if any of the Arches were ultimately to be restaurants, any music would be background.

Under the planning consent, the operating hours were limited to 23:00 for each of the arches, but longer operating hours were sought under the licensing applications. While it was preferable for the planning and licensing hours to mirror one another, any divergence meant the earlier hours would apply.

Agreement had also been reached with one resident in relation to dispersal and taxis, although it was understood that America Street was due to become pedestrianised meaning future vehicular use of the street was unlikely. It was also stated that 80% of customers were likely to walk.

It was acknowledged the arches were in the Borough and Bankside cumulative impact area (CIA) and despite this, the applicant was of the view that they would not contribute to cumulative impact. Each of the premises was small and would cease to operate after midnight. Arches 36 and 38 would be restaurants, so would not be alcohol led in any event, and a suite of conditions would be attached to each of the licences. It was also submitted that the area was being regenerated (via pedestrianisation), that would benefit the residents. It was stated that this was better than the units standing vacant, with no opportunity for local employment or vibrancy.

A maximum occupancy limit of 150 for each of the unit was sought on the basis of photographs/plans in the agenda papers. Currently, the arches were completely empty inside, and it would be for the tenants to install kitchens, bars and toilets (etc.). Tenants would be responsible for installing their own infrastructure. Once installed, the infrastructure would restrict the square metreage and therefore restrict the occupancy. The applicant therefore estimated that there would be maximum occupancy of 120 per unit. The sub-committee concluded that the plans submitted were therefore meaningless.

Customer smokers would be directed to Great Guildford Street and Southwark Bridge Road. Staff would likely be directed to the rear of the premises via the fire exits, where there is a yard. The applicant agreed that there would be no deliveries or outside bottling between 22:00 and 07:00. Deliveries would be carried out to the rear of the arches, where no residents would be disturbed.

The licensing sub-committee heard from the representative from the Metropolitan Police Service whose objection was submitted under the prevention of crime and disorder licensing objective.

The police officer stated that although the applications were largely in line with Southwark's statement of licensing policy 2021-2026 (SoLP), they were also located in the Borough and Bankside CIA.

The applicant had accepted restaurant conditions in respect of Arches 36 and 38 but it was also accepted by the applicant that ultimately, they didn't know what type of premises each of the arches would be. It was therefore difficult for the police to risk assess the premises individually nor could they recommend any appropriate and/or suitable control measures. It was the view of the police that four licensed premises adjacent to one another would affect crime disorder and anti-social behaviour in the area by adding to cumulative impact in an area that was already saturated with licensed premises.

The licensing sub-committee then heard from an officer from environmental protection team (EPT) whose representation concerned the prevention of public nuisance licensing objective. The officer stressed that EPT had not submitted a representation for arch 38 (due to an administrative error). Regardless, EPT had already had considerable dealings with the applicant during the planning process for the arches in addition to other schemes the applicant had in the SE1 area.

The main concern of the EPT officer was that the applicant was seeking premises licences for unknown premises types where the specifics were not yet known. This had resulted in an agreed set of sort of generic parameters which had allowed the applicant to obtain planning permission as EPT were satisfied with the controls in place as detailed in the planning decision notice (page 95 of the agenda), relating to operating hours and noise attenuation.

The EPT officer was not as concerned as members regarding the ventilation systems in place. The subsequent licensing applications (for Arches 36, 37 and 39) contradicted the hours previously agreed through the planning process. The officer acknowledged that although licensing and planning were two separate regimes, the planning position was very relevant to the licensing applications. Similar arches in the vicinity had been mentioned by the applicant in the hearing, but these were not licensed as late as the hours proposed for these arches and residents had still raised noise complaints concerning them.

While the EPT officer was sympathetic to the approach the applicant was taking in terms of getting planning permission and the premises licences in place to be more marketable to future tenants, the applications were so flexible that EPT were not able to properly assess the applications and recommend suitable control measures. This caused EPT serious concern and the officer recommended that the applications be refused.

The licensing sub-committee then heard from the licensing as a responsible authority officer (LRA). The officer stated that although the applicant had offered restaurant conditions for arches 36 and 38, paragraph 150 of Southwark's SoLP meant restaurants

were still subject to the Borough and Bankside CIA. Cumulative impact was therefore still a relevant factor.

Although the arches were in the Borough and Bankside major town centre, there were residences across the very narrow street and in the surrounding streets. If the applications were granted, there was potential for an additional 480 people in America Street and the community. Even if each of the premises were to operate compliantly, neither the applicant, nor their tenants could control customer interactions with the public, or customers from one of the other arches and their behaviour when arriving or leaving the premises.

The officer stated that it would have preferable for applications to have been submitted after tenants were in place, allowing them to specify exactly what they would be offering at their respective arch, when considering suitable conditions.

The licensing sub-committee then heard for the ward councillor who objected to the applications. They stated that the Borough and Bankside ward was in a CIA and the applications should therefore be refused as any new premises would impact negatively on the prevention of crime and disorder, promotion of public safety and prevention of public nuisance licensing objectives.

The applicant had clarified the closing of the windows and doors at 22:00 and while this was welcomed, the applications were a matter of conjecture and suggestion rather than what was being applied for. America Street was a small, narrow street surrounded by residents that potentially risked being the nexus of approximately 480 people late into the evening/early morning; this the residents did not welcome.

The ward councillor also raised his concern of the lack of clarity as to the premises types and the over who might end up occupying these venues and what kind of activities residents could expect from them. Businesses formed part of the community and neighbourhood and it was reasonable for residents and neighbours to expect businesses to behave in a neighbourly fashion and the applicant had failed to engage with residents to allay their fears or concerns.

The ward councillor also clarified to members that behind the premises, on the other side of the railway track, there was some 20 residential units and the activities within the arches would have an immediate impact on them.

The licensing sub-committee then heard from the four residents who objected to the applications.

It was stated that the potential for four licensed premises, each of which had sliding doors that opened directly onto the street, with a possibly of 480 people approximately 30 to 50 feet from residents' bedrooms was unacceptable.

Residents of America House had moved into their homes in the full knowledge that there was a railway line close by and noise from the railway didn't disturb them; they had got used to it. It was necessary public transport.

They stated that licensed premises had increased in the area ten-fold in the previous 20 years. Reference was made to other local licensed premises: Flat Iron Square on Southwark Street and on Great Guildford Street, Brix and also Caravan, whose

activities could still be heard through residents closed windows three, four, five and six floors up.

The noise of intoxicated pedestrians under the tunnel/railway arch would be amplified; noise did not funnel up the street but went up. Residents informed the sub-committee that noise could be heard from licensed premises as far as Union Street.

Residents also feared that in the event of America Street becoming pedestrianised, there could be tables and chairs on the street, creating more noise to residents.

Smoking conditions were included on other local licensed premises (i.e. Brix), on their licence and despite this, premises management and its bouncers allowed their customers to smoke where they wanted. Even if smokers from the arches were directed to Great Guildford Street, this would still be unacceptable to residents because some of the residents' bedrooms were on the corner of America Street and Great Guildford Street.

This was an application for a premises licence made by the Arch Properties Company Limited in respect of the premises Arch 37 America Street, London SE1 0NJ.

This application formed one of four applications that were heard together but were considered separately on its merits.

Each of the applications were for the same hours and same conditions. Within the body of the application, the premises is described as:

"The Arch Company is the UK's largest small business landlord, serving thousands of business owners who make a unique and vital contribution to the UK economy. With a property portfolio of approximately 5,200 railway arches, business estates, former station buildings and other properties, The Arch Company is proud to be the landlord to a diverse, passionate group of small business owners, entrepreneurs and community organisations across England and Wales.

The Arches at 36 – 39 America Street are newly refurbished commercial units in the heart of Southwark.

Southwark Policy. The premises do sit within the Southwark Cumulative Impact Policy (CIP). However, these premises are small in size and the application seeks hours similar to the framework hours suggested within the policy. The locations are not residential and provide an opportunity to develop sites which are currently vacant.

Conditions have been offered within the application which we believe to be proportionate and adequate for the style and size of the operations. Due to the reasons listed above we believe the application promotes the Licensing Objectives. Application. The applicant is the landlord who will not operate the premises but will transfer to a suitable tenant when identified. We are making the application because, in challenging economic times, it is more attractive to an independent operator to take a premises with a premises licence thus avoiding the time and costs involved in making the application".

The premises is in the Borough and Bankside CIA and has been so since 4 November 2009. In Southwark's SoLP, Borough and Bankside is classed as a major town centre.

In determining this application, the licensing sub-committee is under a duty to regard to the representations and take such steps as it considers appropriate for the promotion of the licensing objectives (s.35(3)(b) Licensing Act 2003).

For the avoidance of all doubt, the planning issues were not considered by the members of the sub-committee. They did however consider the planning conditions insofar as they were relevant to the premises licence applications and potential licence conditions.

The licensing sub-committee were being asked to grant the premises licences based on uncertainties. Responsible authorities stated that in addition to cumulative impact, due to the vague nature of the applications, they were not in a position to properly assess the applications and make any suggestions in terms of conditions.

The applications lacked detail of premises type, appropriate and proportionate conditions, and did not adequately address cumulative impact and the residents' concerns as required in paragraph 152 and 153 of Southwark's SoLP.

Further, paragraph 8.47 of the Section 182 Guidance (December 2023) states:

"Applicants are expected to provide licensing authorities with sufficient information in this section to determine the extent to which their proposed steps are appropriate to promote the licensing objectives in the local area".

The sub-committee is of the view the applications fell far short of the Guidance. For example:

1. The premises was described as "newly refurbished commercial unit(s)", but during the hearing it became clear that the units were essentially shells and would have infrastructure fitted out by tenants.
2. The conditions were described as proportionate and adequate for the style and size of the operation. However, the style of the operation had yet to be determined as no tenant for the unit had been identified.
3. The plans being indicative only, meant the sub-committee were unable to take view of matters such:
 - 3.1 The location of bars and kitchens when considering what additional conditions could be imposed to ensure the arches did not become vertical drinking establishments.
 - 3.2 Toilet facilities above the British Standards minimum (and expecting EPT to enforce for non-compliance), despite knowing public urination being a concern of residents generally.

The operating schedule of the applications included 23 conditions, that had been added largely through the consultation process as a response to the level of objection raised.

Arches 36 and 37 included outside areas on America Street and while three additional conditions were proposed dealing with the outside areas with one of the other persons, the applicant did not remove the outside area from the Arches 36 and 37 applications, despite the level of objection that they attracted.

By way of assistance to the applicant, the sub-committee were of the view that while it is a matter for the applicant and their legal representative(s) how it presents its application(s) and there being no restriction in applying for premises licences, this was a case where arguably, it would have been more prudent to apply for provisional statement(s) under Section 29 of the Licensing Act 2003.

The Section 182 guidance at paragraph 8.9.1 relating to provisional statements is largely echoed at paragraph 55 of the SoLP, although goes slightly further stating:

“This council would prefer to see provisional statements sought in the first instance in cases where the responsible bodies are not yet able to confirm that works have been carried out in compliance with agreed schedules and to standard”.

America Street, although in a major town centre (as classified in SoLP), is a densely populated area that suffers from the consequences of the cumulative impact arising from the high concentration of alcohol-led premises in their neighbourhood.

Residents informed the sub-committee that they were already disturbed by licensed premises in the area, and many were prohibited from opening their windows in the summer months due to the noise from these premises. Many of the residents had young children and/or elderly parents who needed sleep. Other residents were shift workers (or worked during the weekend) so needed to sleep at a reasonable hour.

If the premises licence were granted it would undoubtedly lead to increased intoxication levels with a consequential increase in disorder. The grant of this licence would increase the overall footfall of the immediate area, which would result in increased noise from patrons and the premises at a later hour, more drinking and more crime and anti-social behaviour to the area.

Any expectation that residents could report noise complaints to the council's noise and nuisance team would place a heavy burden on residents who would be expected to record the breaches and impacts on them which would be exhausting.

With the arches being located in a CIA, the sub-committee were directed to a Paragraph 150 of Southwark's SoLP, which provides:

“All applicants for new premises licences or for variation of existing premises licences, made in respect of classes of premises affected by the policy, located within a special policy area, must address the local concerns raised within their application and operating schedule”.

Paragraph 152 continues:

“Where a presumption against the grant of a licence exists and a relevant representation has been received, this Authority must consider whether it would be justified in departing from its special policy in the individual circumstances of the case. This Authority will need to be satisfied that the grant of the application under consideration will not impact further on the relevant licensing objectives, before any grant or part grant of the application can be approved”.

This licensing sub-committee needs to be satisfied that the grant of the application(s) will not impact further on the licensing objectives. It was referred to R (on the application of Westminster City Council) -v- Middlesex Crown Court [2002] EWHC 1104 in which HHJ Baker adjudicated:

“Notwithstanding the applicant being a fit and proper person and the premises would be well run a licence could be refused on the sole ground that the area was already saturated with licence premises....and the cumulative effect of the existing premises was impacting adversely on the area to an unacceptable level”.

In consider the CIA in any licensing application, determinations are always considered on a case-by-case basis when considering the representations of the applicant and objections received from responsible authorities and/or other persons.

On this occasion, both residents and responsible authorities stated that the grant of the licence would undermine the licensing objectives due to the cumulative impact. Members of the sub-committee also drew upon its knowledge of the geographical area. In the circumstances, since the premises is located in the Borough and Bankside CIA, this application is refused.

In reaching this decision the sub-committee had regard to all the relevant considerations and the four licensing objectives and considered that this decision was appropriate and proportionate.

Appeal rights.

The applicant may appeal against any decision:

- a) To impose conditions on the licence
- b) To exclude a licensable activity or refuse to specify a person as premises supervisor.

Any person who made relevant representations in relation to the application who desires to contend:

- a) That the licence ought not to have been granted; or
- b) That, on granting the licence, the licensing authority ought not to have imposed different or additional conditions to the licence, or ought to have modified them in a different way

may appeal against the decision.

Any appeal must be made to the Magistrates' Court for the area in which the premises are situated. Any appeal must be commenced by notice of appeal given by the appellant to the justices' clerk for the Magistrates' Court within the period of 21 days beginning with the day on which the appellant was notified by the licensing authority of the decision appealed against.

Issued by the Constitutional Team on behalf of the Assistant Chief Executive – Governance and Assurance.

Date: 25 November 2024